

# When evidence is not enough: a case study on alcohol marketing legislation in Brazil

Alan Vendrame

Department of Psychiatry, Federal University of São Paulo, São Paulo, Brazil

## ABSTRACT

**Aims** This case study identifies the influence and mechanisms that the alcohol industry in Brazil has been able to bring to bear to maintain self-regulation in the marketing of beer and many wines set against a trend of increasing alcohol consumption in Brazil, particularly among young people and women. It identifies the forms of power and strategies used by the alcohol industry in Brazil that may be useful for other countries to consider in seeking to move from self-regulation to state regulation of alcohol marketing. **Method** A review was conducted of recent legal documents and court cases, as well as the activities of alcoholic beverage industries. **Results** Because of an exemption, Brazilian law had established that both beer and many wines are not alcoholic beverages for marketing purposes. These beverages are subjected to industry self-regulation codes. Research shows that beer and wine marketing often violates industry codes, with little or no enforcement of penalties for non-compliance. Attempts to include beer and wine in the legal definition of alcohol have been opposed by the alcohol industry, and the courts have delegated responsibility to the legislature. The recent legal activities surrounding alcohol sales during the 2014 World Cup games in Brazil provide evidence of the alcohol industry's influence on the legislative process. **Conclusion** The alcohol industry in Brazil plays a significant role in the formulation of public policies on alcohol, especially regarding the regulation of marketing. This power is exercised by strong lobbying of government officials responsible for public policies.

**Keywords** Adolescent, alcohol, alcohol marketing, alcohol use, public health law, self-regulation.

*Correspondence to:* Alan Vendrame, Department of Psychiatry, Federal University of São Paulo, São Paulo, Brazil. E-mail: [aven2@uol.com.br](mailto:aven2@uol.com.br)

Submitted 22 February 2016; initial review completed 29 February 2016; final version accepted 26 April 2016

## INTRODUCTION

The alcohol industry in Brazil plays a significant role in the formulation (or lack of formulation) of public policies on alcohol, and in particular the regulation of alcohol marketing [1]. Within this context, epidemiological studies conducted in the last few years in Brazil have shown that the consumption of alcoholic beverages, especially among young people and women, is increasing. Alcohol consumption has been increasing in these populations since these studies began (2004) [2–5].

The most recent data (II LENAD: Second Brazilian National Alcohol and Drugs Survey) revealed that between 2006 and 2012, the proportion of young women experimenting with alcohol before age 12 had increased from 1 to 4%; for young women aged 12–14 years, there was an increase from 7 to 13%; and the increase was

from 28 to 32% for young women aged from 14 to 17 years [5]. The proportion of women who consume five or more drinks per episode increased from 14% in 2006 to 27% in 2012 and the frequency of drinking alcohol increased at least once a week from 27% in 2006 to 38% in 2012. The difference in consumption levels of alcohol between males and females has been decreasing progressively [5].

In the case of adolescents, data from the II LENAD have shown an increase in abstinence (people who have not drunk alcohol in the past 12 months) from 66% in 2006 to 74% in 2012. However, the average age at which regular consumption of alcohol has remained stable among boys and throughout this time has risen significantly among girls, from 69% in 2006 to 74% in 2012. Furthermore, binge drinking among adolescents aged 14–17 years increased by 7.5%, and the increase was 29% in the female population [5].

## MARKETING AND EXCESSIVE ALCOHOL CONSUMPTION

Brazil has become a strategic country for the alcohol industry for two important reasons: the economic stability in the last few years and the significant number of young abstinent people in the population [1,6]. Thus, marketing has become an instrument used strategically by the alcohol industry for the acquisition of new consumers and to encourage the regular consumption of alcohol.

According to research on the effects of alcohol marketing, the damage arising from alcohol advertising in children and adolescents occurs through the level of exposure to the messages advertised. Children and adolescents who are more exposed to advertising initiate alcohol consumption at an earlier age and have a tendency to consume in a more abusive pattern than those who were not exposed [7,8]. According to longitudinal studies, this influence occurs gradually, and it involves a chain of factors (e.g. parents' pattern of use, peer pressure) that can influence someone to initiate consumption or to drink excessively [9].

In countries where alcohol advertising is permitted there are two types of regulation methods: through the law (legal control) and through self-regulation (industry ethical control). In some cases both patterns can operate simultaneously. As illustrated in Fig. 1, the system adopted for alcohol regulation in Brazil is a hybrid of these two systems. The Federal Constitution (1988) determines that the alcohol marketing should be regulated through law [10], but in 1996 the National Congress decided that alcoholic beverages for advertising purposes had to have an alcohol concentration higher than 13 on the Gay-Lussac scale [11] (approximately equal to 13% alcohol by volume). This excluded for marketing purposes most

wines and beer, the beverages that are the most commonly consumed in Brazil.

## LACK OF REGULATION

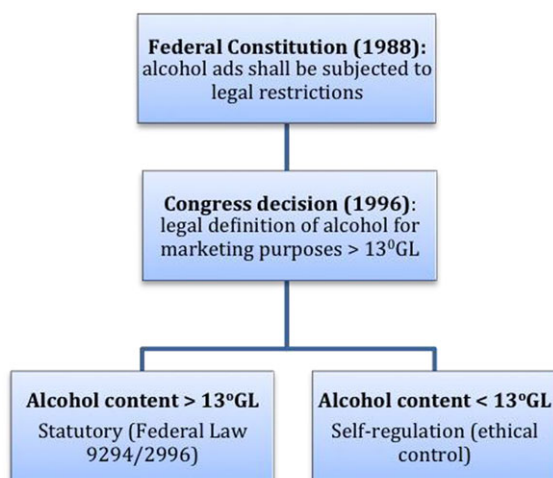
To the extent that Brazilian law establishes for marketing purposes that both beer and wine are not alcoholic beverages, this constitutes a conceptual error from both medical and scientific viewpoints. As these alcoholic beverages were excluded from legal regulation, regulatory control has fallen to the Brazilian Advertising Self-Regulation Council (CONAR). The CONAR is a non-governmental organization, created in 1980 by advertisers who feared that the government would take legal action to prohibited marketing. The system's objective was to promote the ethical control of marketing by means of a self-regulation code and by the use of an ethical counsel that would determine whether or not the established rules were obeyed.

The rules and restrictions contained in the CONAR Code, like other countries that adopt this system, were derived from two principles: to protect children and adolescents by prohibiting marketing directed to this audience and to prohibit marketing that induces abusive and irresponsible alcohol consumption. As a result of this, a series of restrictions are enforced in order to control the content of alcohol marketing.

Numerous studies conducted in Brazil using a public health perspective show that self-regulation of alcohol marketing is ineffective [1,12,13]. The self-regulation code is followed by the alcohol industry voluntarily, but there is no effective way to enforce the rules when they are violated [13]. Beer advertisements often carry a message that encourages excessive alcohol consumption, and there is evidence that messages are also directed at children and adolescents [1,13].

Similar evidence was found in other countries where self-regulation is used for controlling alcohol marketing [12,14]. For example, a study conducted to evaluate advertising code violations using the US Beer Institute Guidelines for responsible advertising concluded that (due to considerable code violations on alcohol advertisements) the alcohol industry's current self-regulatory framework was ineffective at preventing content violations [14].

In practical terms, the alcohol industry does not encounter significant limitations when defining the content and the target audience of their advertising in Brazil, despite occasional modifications in the rules of self-regulation [13]. This situation can be explained from the alcohol industry's global strategy to influence marketing regulations. The alcohol industry usually defends self-regulation against statutory regulation by emphasizing the industry's responsibility and the effectiveness of self-regulation, arguments that are not supported by evidence [15].



**Figure 1** Overview of Brazilian regulatory system for alcohol marketing

In this context, an effective and low-cost measure to protect vulnerable populations from the alcohol marketing and also to prevent excessive alcohol consumption would be to include beer and wine in the legal definition of alcohol, thus allowing statutory control of marketing communications. However, this approach is opposed by the alcohol industry [15–17].

Since 1996, dozens of bills that were designed to redefine the legal concept of alcohol for marketing purposes have not been passed by the National Congress [13]. In contrast, measures that benefit the alcohol industry are approved quickly with little or no difficulty in comparison to the time-consuming and bureaucratic process that other bills must undergo. One example was the request to allow the sale and consumption of alcohol in football stadiums during the FIFA World Cup of 2014 [17]. The sale and consumption of alcohol in football stadiums were prohibited in the 1990s due to the violence and subsequent deaths among rival football fans. Legislators understood that, among other factors, these behaviours were related directly to the consumption of alcohol. In the year prior to the World Cup, AB Inbev, one of the largest brewers in the world, the leading brewer in Brazil and one of the main sponsors of FIFA 2014, managed to influence the National Congress to approve a bill allowing the sale and consumption of alcoholic beverages during World Cup events [17].

### THE LAWSUIT AT THE SUPREME COURT: CONSTITUTIONAL ISSUES ON ALCOHOL MARKETING REGULATION

Given the lack of regulatory control over the marketing of beer and wine and the increasing alcohol consumption among youth and other vulnerable groups, the Republic's General Attorney concluded that the National Congress had made an 'unconstitutional omission' due to the blocking of legislative bills that aimed to correct the legal definition of alcohol for marketing purposes. In 2012, the Attorney General filed a lawsuit of unconstitutionality by omission (ADO22) with the Brazilian Supreme Court (Supremo Tribunal Federal: STF).

In general terms, the Attorney General argued that [18]: (1) studies conducted in Brazil have shown that the alcohol industry's self-regulated marketing codes are ineffective at preventing potentially harmful content from appearing in alcohol marketing, and beer advertisements are directed mainly towards children and adolescents; (2) lack of regulation and control of beer is a public health issue, as the evidence shows that there is an association between exposure to alcohol marketing and the early initiation of alcohol consumption as well as subsequent excessive drinking; (3) there is a constitutional duty to regulate alcohol marketing, and the National Congress, when it defined alcohol for marketing purposes as a concentration

superior to 13 degrees Gay-Lussac (roughly 13% alcohol by volume), included a conceptual error in the Brazilian law; and (4) the STF should recognize its institutional omission and request the National Congress to correct its legal definition of alcohol as it applies to marketing because of the need to obey the intent of the Federal Constitution.

The type of action proposed by the Attorney General allows non-governmental organizations to represent interests related to the trial and to join in the process as *amicus curiae* (friend of the Court), whose participation is limited to presenting technical arguments on which the court can base its decision. The figure of *amicus curiae* on the Brazilian Supreme Court is similar to the one provided by the Court Rules of the Supreme Court of the United States (Rule 37, *Brief for an Amicus Curiae*) [19].

In case ADO22, ABERT (Brazilian Association of TV and Radio Broadcasting) and CERVBRASIL (Brazilian Association of Beer Industries) presented arguments against correcting the legal definition of alcohol and ABP (Brazilian Psychiatric Association) and ABEAD (Brazilian Association of Alcohol and Drug Studies) presented arguments in favour of the change.

### BEER MARKETING AND THE STF: WHEN EVIDENCE IS NOT ENOUGH

After 2 years of legal transactions, the STF decided against the public health viewpoint [18]. Weeks after the judgement, the court ruled regarding the arguments formulated by ABP and ABEAD. Only the ABP was accepted as *amicus curiae*; the STF argued that the ABEAD represented the same interests as the ABP, in such a way that their arguments were unnecessary. Conversely, ABERT and CERVBRASIL, both of which had common interests, were included as *amicus curiae* in the ADO22 and both were allowed to present their arguments [18].

The action was judged unfounded by all the judges from STF, because the court understood that if the judiciary accepted the arguments of the Attorney General by the ABP there would be a conflict among powers, as the judiciary would be exercising legislative authority, which is considered the National Congress's exclusive right. With this argument of a possible interference in the right of another power, the STF did not analyse the question at hand, disregarding all the evidence presented, even if this decision favoured one specific sector of the economy (the alcohol industry) which resulted in damage to society and public health [18].

In this case, the STF lost an important opportunity to establish public policies based on evidence. The ADO22's decision contradicts similar cases dealing with questions of omission conducted by the National Congress in their legislative activity. A historical series published by the STF itself shows that, from 1992 to 2009, 30 actions that concerned

institutional omission by the Legislative Power [18] were judged pertinent by the court. In declining the opportunity to correct the legal definition of alcohol for publicity purposes, the court contravened previous precedent by declaring that the issue was a matter for the National Congress exclusively.

Due to the binding character of STF's decision, alcohol marketing regulation in Brazil cannot be litigated in any other court at any level in the country. All the judges are obliged to sustain the decision of ADO22. In other words, the matter of correcting the legal definition of alcohol for advertising purposes and, thus, the inclusion of beer and most wine marketing under statutory control, became exclusively a responsibility of the National Congress.

## FINAL CONSIDERATIONS

In Brazil, official data estimate that the country spends 7.3% of its Gross National Product per year on problems related to the use of alcohol, from its medical treatment to the loss of work productivity derived from its use [20], amounting to approximately US\$93 billion. In the last 4 years, the SUS (public health system) identified 313 000 hospitalizations due to alcoholism, with an annual cost of US\$249 million. Twenty per cent of treatment in general care alone is due to alcohol abuse, and 50% of psychiatric treatment has a connection with the abuse of alcohol [20].

The social cost of alcohol is extremely damaging for Brazilian society, even when taking into account how much society raises in tax revenue from the production and commercialization of alcohol. As a comparison, AB Inbev is the largest taxpayer in Brazil, generating approximately US\$3.8 billion annually for the government [18] versus US\$93 billion spent on alcohol problems.

Since the STF decision, the possible inclusion of beer and wine in the legal control of alcohol marketing now depends exclusively upon the will of the National Congress.

A scenario where the National Congress intervenes is highly unlikely, given that the alcohol industry is one of their main campaign donors. For the 2014 Congress and Presidential elections alone, the alcohol industry donated US\$60.7 million to the main candidates and parties. Apparently, this mechanism of financial support enhances the influence of the alcohol industry in the formulation of alcohol policies and maintenance of their business interests.

This case study demonstrates that, in order to protect their own economic interests against any attempt of statutory control over alcohol marketing where self-regulation is used around the world, the alcohol industry exercises a strong lobby to influence policymakers.

## Declaration of interests

None.

## Acknowledgements

This is a one of a series of papers published in a Supplement to Addiction entitled: "The Regulation of Alcohol Marketing: From Research to Public Health Policy." This supplement was published with financial support from Alcohol Research UK and the Institute of Alcohol Studies. Preliminary versions of the majority of these manuscripts were first presented at a meeting organized by the Pan American Health Organization. [Correction: these acknowledgements were added on 26 October 2016, after original online publication]

## References

1. Vendrame A., Pinsky I., Silva R. S., Babor T. Assessment of self-regulatory code violations in Brazilian television beer advertisements. *J Stud Alcohol Drugs* 2010; **71**: 445–51.
2. Galduróz J. C., Caetano R. Epidemiology of alcohol use in Brazil. *Rev Bras Psiquiatr* 2004; **26**: S3–6.
3. Pinsky I., Zaleski M., Caetano R., Sanches M., Laranjeira R. Alcohol use patterns among Brazilian adolescents. *Rev Bras Psiquiatr* 2010; **32**: 242–9.
4. Laranjeira R., Pinsky I., Zaleski M., Caetano R. I Levantamento Nacional sobre os padrões de consumo de álcool na população brasileira [I Brazilian National Alcohol and Drugs Survey]. São Paulo: Secretaria Nacional Anti-Drogas; 2007.
5. Laranjeira R. II Levantamento Nacional sobre os padrões de consumo de álcool na população brasileira [II Brazilian National Alcohol and Drugs Survey]. São Paulo: National Institute for Public Policy on Alcohol and Other Drugs/Federal University of São Paulo (INPAD, UNIFESP); 2014.
6. Caetano R., Laranjeira R. A 'perfect storm' in developing countries: economic growth and the alcohol industry. *Addiction* 2006; **101**: 149–52.
7. Collins R. L., Ellickson P. L., McCaffrey D., Hambarsoomians K. Early adolescent exposure to alcohol advertising and its relationship to underage drinking. *J Adolesc Health* 2007; **40**: 527–34.
8. Faria R., Vendrame A., Silva R., Pinsky I. Propaganda de álcool e associação ao consumo de cerveja por adolescentes [Association between alcohol advertising and beer drinking among adolescents]. *Rev Saúde Públ* 2011; **45**: 22.
9. Snyder L. B., Milici F. F., Slater M., Sun H., Strizhakova Y. Effects of alcohol advertising exposure on drinking among youth. *Arch Pediatr Adolesc Med* 2006; **160**: 18–24.
10. Supremo Tribunal Federal, Brazilian Constitution [English version]. Brasília [Brazil]; 2015. Available at: [http://www2.stf.jus.br/portalStfInternoacional/cms/verConteudo.php?sigla=portalStfSobreCorte\\_en\\_us&idConteudo=120010](http://www2.stf.jus.br/portalStfInternoacional/cms/verConteudo.php?sigla=portalStfSobreCorte_en_us&idConteudo=120010) (accessed 27 October 2015) (Archived at <http://www.webcitation.org/6fvn2mI0A>).
11. Brazilian Congress, Federal Law 9294/1996. Brasília (Brazil); 2015. Available at: [http://www.planalto.gov.br/ccivil\\_03/LEIS/L9294.htm](http://www.planalto.gov.br/ccivil_03/LEIS/L9294.htm) (accessed 27 October 2015) (Archived at <http://www.webcitation.org/6fvncEw1i>).
12. Vendrame A., Pinsky I. Ineficácia da autorregulamentação das propagandas de bebidas alcoólicas: uma revisão sistemática da literatura internacional [Inefficacy of self-regulation of alcohol advertisements: a systematic review of the literature]. *Rev Bras Psiquiatr* 2011; **33**: 196–202.



13. Vendrame A., Silva R., Xuan Z., Sparks R., Noel J., Pinsky I. Self-regulation of beer advertising: a comparative analysis of perceived violations by adolescents and experts. *Alcohol Alcohol* 2015; **1**: 1.
14. Babor T. E., Xuan Z., Damon D., Noel J. An empirical evaluation of the US Beer Institute's self-regulation code governing the content of beer advertising. *Am J Public Health* 2013; **103**: e45–51.
15. Savell E., Fooks G., Gilmore A. B. How does the alcohol industry attempt to influence marketing regulations? A systematic review. *Addiction* 2016; **111**: 18–32.
16. Cunha F., Marques R. E., Faria P. L. Dificuldades políticas, éticas e jurídicas na criação e aplicação da legislação sobre álcool e tabaco: contributo para o desenvolvimento da investigação em Direito da Saúde Pública [Political, ethical and legal difficulties in the creation and implementation of legislation on alcohol and tobacco: contribution to development of research in Public Health Law]. *Rev Portug Saúde Públ* 2010; **28**: 205–18.
17. Gornal J. World Cup 2014: festival of football or alcohol? *BMJ* 2014; **2348**: g3772.
18. Supremo Tribunal Federal, ADO 22. Brasília, Brazil, 2015. Available at: <http://www.stf.jus.br/portal/processo/verProcessoAndamento.asp> (accessed 27 October 2015) (Archived at <http://www.webcitation.org/6fvnxKyEC>).
19. Supreme Court of the United States. Rules of the Court, Rule 37. Washington, DC, USA: 2016. Available at: <http://www.supremecourt.gov/ctrules/2013RulesoftheCourt.pdf> (accessed 3 March 2016) (Archived at <http://www.webcitation.org/6fvoCE82D>).
20. Gallassi A. D., Alvarenga P. G., Andrade A. G., Couttolenc B. E. Custos dos problemas causados pelo abuso do álcool [The cost of problems caused by alcohol abuse]. *Rev Psiquiatr Clín* 2008; **35**: 25–30.